

Research Briefing | UK

Supply-side problems exacerbating economic difficulties

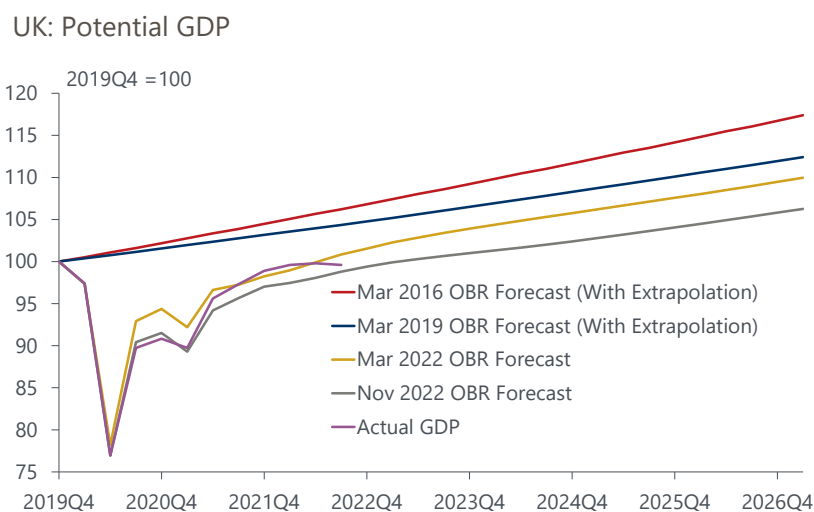
- **The MPC and OBR both judge that UK potential GDP has fallen outright since Q4 2019 and will register only meagre growth in the coming years. This theme of weak UK potential output growth is in line with Oxford Economics' view – both our figures and OECD estimates imply that UK potential growth over 2020-2024 is likely to be among the lowest of any advanced economy.**
- **Weak UK potential output growth reflects adverse effects from Brexit, the pandemic, high energy prices, and demographics. Low potential growth implies weak growth in living standards and painful choices for fiscal and monetary policymakers.**
- **The government lacks a serious strategy to lift potential growth; in fact, the cuts to public investment in the Autumn Statement could make it worse. Possible solutions include listening to the experts (e.g., the OECD and IMF), and establishing an independent supply-side commission to evaluate policy options and make recommendations.**

Why is the UK economic outlook so grim? Why is the MPC raising rates to cool the economy even while the economy is in recession, real GDP is still slightly (0.4%) below its pre-pandemic peak, and real GDP per head is fully 1.6% below its peak? Why does the OBR judge that little or no growth in public spending and/or a rising tax burden is needed to return the public finances to a sustainable path?

Part of the problem is the energy price surge. This has lifted inflation and (unless checked by tighter monetary policy) threatens to cause a persistent rise in inflation expectations. Meanwhile, the need to support the finances of households and businesses has raised the fiscal deficit.

But another part of the problem is the deterioration in UK potential output growth – the level at which the economy can operate without creating sustained inflation pressures – over the recent and coming years. Potential output growth already slowed to about 2% per year during 2010-2019 (OBR estimate), from 2.5%-3% per year during 1997-2007, because of lower productivity growth. Now, the OBR and BoE both judge (similar to OE estimates) that potential output has fallen outright since 2019, and will grow at only a modest pace (**Chart 1**).

Chart 1: UK potential GDP is well below the pre-pandemic trend



Source : Oxford Economics/Haver Analytics

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In its recent forecast, the OBR cut its projection for the cumulative rise in potential GDP from Q4 2019 to Q1 2027 to just 6%, from 10% in its March forecast, an average gain of below 1% per year. By contrast, the OBR's forecasts of March 2019 (before the pandemic) and March 2016 (before the Brexit vote) implied gains of 12% and 17% respectively over that period. The BoE's estimate for potential output growth from 2019 to 2025 is even weaker (and was revised down in the November Monetary Policy Report), with a lower projection for potential growth in coming years. The OBR expects the adult population (16+ years) to grow by 3-4% between Q4 2019 and Q1 2027, and hence its forecast implies that potential GDP growth per head over that period will be only 2-3% – less than 0.5% per year (and close to zero over the period from 2019Q4 to 2025Q4 in the BoE forecast).

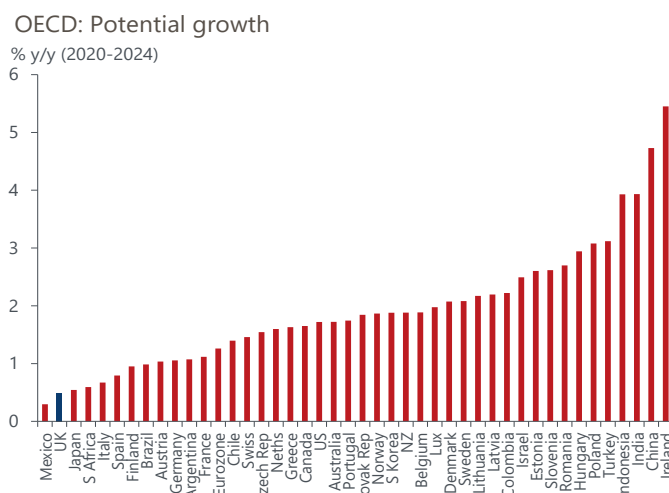
Estimates and projections for potential GDP growth are inherently uncertain. Neither the economy's potential nor its capacity to grow can be directly observed, and the rising importance of the intangible economy blurs the notion of 'full capacity'. In addition, GDP data for 2020-2022 could be revised up a bit, which might also lift estimates of potential growth over that period.

But, while one could quibble with details in the BoE and OBR estimates, the theme of weak UK potential output is very much in line with previous OE research (see [here](#) and [here](#)). Indeed, if anything, risks to potential growth in the coming years probably lie to the downside of the OBR forecast (and the OE forecast for potential output growth over the next five years is a little below the OBR). To be sure, net inward migration in the last year was well above the OBR assumption (outturn of 504k, versus the OBR assumption of 200k-225k per year). However, recent migration inflows were inflated by some factors that are unlikely to be persistent (e.g., [Ukrainian nationals, the Afghan Resettlement Programme, and holders of British visas arriving from Hong Kong](#)), as well as a sizeable rise in the numbers coming to the UK to study (who tend to have relatively low workforce participation). Moreover, the OBR's productivity forecast seems quite optimistic; it assumes that productivity growth (output per hour) will pick up to around 1% YoY on average over the next four years compared to an average of 0.6% YoY over the last 10 years. Productivity growth has repeatedly undershot the OBR forecasts over the last decade and, with sluggish business investment and (probably) continued adverse effects from Brexit, may well undershoot again in coming years.

With this deterioration in potential output, the labour market is tighter now (i.e., lower unemployment, lower under-employment, higher vacancies, and higher levels of labour shortages) than in late 2019, even with the slight drop in GDP over that period. And unemployment is lower than the MPC expected a year ago, even though GDP growth has markedly undershot its forecasts.

The adverse effects of UK-specific factors are evident in cross-country comparisons (**Chart 2**). The OECD estimates that UK potential output growth roughly matched the OECD average during 1997-2007, and again during 2010-2019, but will be less than half the OECD average over 2020-2024 (and among the worst of any OECD country). This is also consistent with the OE view. Indeed, in the OE estimates, UK potential output growth over the period 2020-2024 will be the second lowest among 43 OECD economies (below all countries apart from Mexico), having been roughly in the middle of the pack during 2010-2019.

Chart 2: UK potential growth (2020-2024) among the lowest on our estimates



Source: Oxford Economics/OECD

Why does low potential growth matter?

In the short run, the economy's actual path can diverge from potential output, exceeding it during a boom and undershooting in a slump. But with the MPC aiming to keep demand in line with supply (to ensure inflation returns sustainably to target), over time it's reasonable to expect that the actual path of GDP growth will be close to potential GDP. In other words, potential growth acts as a 'speed limit' for the economy. Low potential growth (especially in terms of potential output per head) implies low growth in real living standards. It also implies a sluggish trend in the growth of tax revenues (in real terms), and hence (assuming the government aims to contain the fiscal deficit) meagre growth in real public spending per head and/or a rising tax burden.

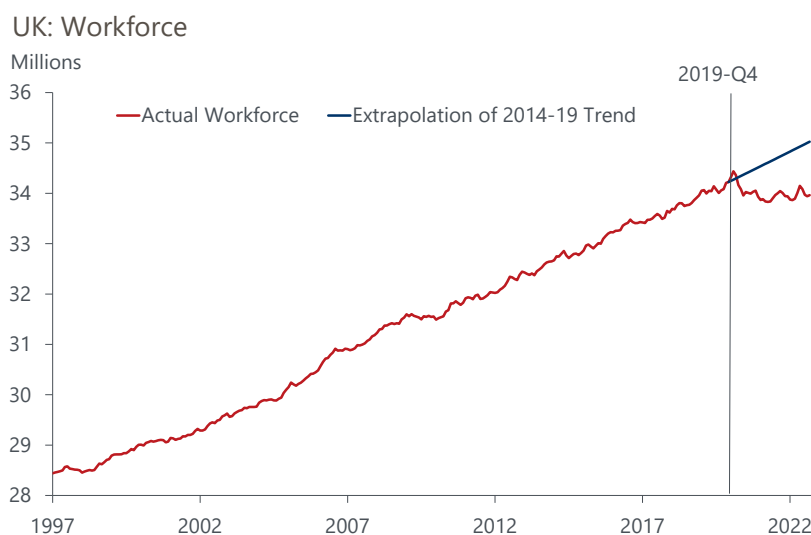
The recent shortfalls in potential output growth have played a major role in the decisions by the MPC and government to tighten monetary and fiscal policies. With potential output having fallen in recent years, the MPC judges that the economy is still in substantial excess demand (i.e., actual output is above potential) in Q4, even though GDP shrunk in Q3 (and probably Q4) and remains below the Q4 2019 level. This view implies that a further period of sub-trend (or negative) output growth would be needed to restrain demand to match supply. Likewise, the OBR judges that, with potential output below its previous estimate, the UK's structural fiscal position (excluding the energy support measures) is also weaker than it previously estimated. In turn, this contributed to the need for the additional fiscal tightening announced by the Chancellor in the Autumn Statement.

Potential growth also undershot after the GFC, prompting fiscal tightening in the early 2010s. However, in monetary policy terms, the current episode is more acute, because supply has recently undershot the MPC's expectations by more than demand (resulting in greater excess demand than previously forecast). By contrast, after the GFC, shortfalls in demand meant that the MPC still judged the economy had a sizeable output gap in 2010-2015, even with undershoots in potential output.

Why has potential growth slowed?

During 2010-2019, the deterioration in potential output growth after the GFC reflected a sharp slowdown in productivity growth, partly offset by upside surprises in workforce growth (driven by inward migration and rising participation). Recent weakness in potential output partly reflects a further undershoot in productivity growth, even compared to the weak trend of 2010-2019. Output per hour worked in Q3 this year was about 1% below an extrapolation of the pre-pandemic trend (over 2014-2019), despite the boost to aggregate productivity from the shrinkage in the number of low-paid jobs. The weakness in potential output also partly reflects a sharp slowdown in workforce growth: indeed, the workforce has fallen by nearly 1% since Q4 2019 and is about 3% (1 million people) below an extrapolation of its pre-pandemic trend (**Chart 3**). In turn, this reflects slower growth in the working age population and lower workforce participation – especially people aged 55-64 years and among men aged 16-24 years.

Chart 3: UK workforce is 3% below its pre-pandemic trend



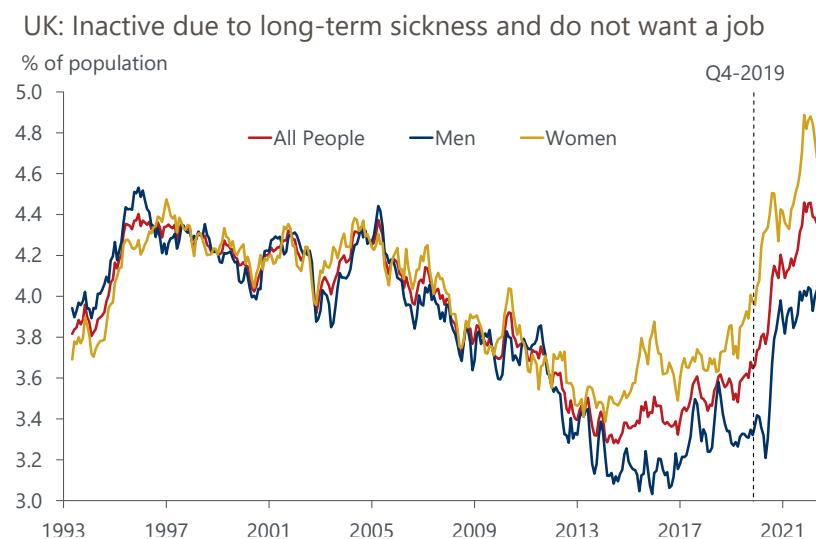
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Source: Oxford Economics/ONS

Behind all this lies three big economic shocks: Brexit, the pandemic, and the energy price surge. These shocks have hit business investment and slowed capital stock growth. Brexit, by reducing the UK economy's trade openness, also has hit productivity through adverse effects on the comparative advantage and economies of scale of UK-based firms, and by lowering competitive pressures within the UK (see [here](#)). Combined effects of Brexit and the pandemic also reduced workforce growth versus pre-2019 trends, through the outflow of EU nationals in 2020-2021.

The pandemic has further reduced the workforce through a big rise in workforce inactivity driven by long-term sickness. Since Q4 2019, the number of people (aged 16-64) who are outside the workforce because of long-term sickness and do not want a job has risen by 450k – about 1ppt of the adult population – to a record high (**Chart 4**). The rise in workforce inactivity due to long-term sickness appears to have been relatively large in the UK compared to other major advanced economies. It's not yet fully clear why this is the case. Possible reasons include the surge in NHS waiting lists and adverse effects from Long Covid, perhaps exacerbated by the UK's relatively high incidence of Covid in 2020 and early 2021, and the interaction of Covid with initial health conditions.

Chart 4: A sharp rise in long-term sickness has driven an increase in inactivity



Source: Oxford Economics/ONS

The OBR also judges that the energy price surge has further reduced potential output, by reducing the volume of goods and services that it is profitable for firms to supply when the price of an important, and largely imported, input rises.

Unless offset by persistently high inward migration, adverse demographics driven by population ageing are likely to further limit workforce growth in the coming years (see [here](#)). Even with a pickup in the next two years, we expect that UK workforce growth will slow from an average of 0.8% YoY during 2010-2019 (well above the gains in the US and Euro Area) to around zero YoY on average in 2020-2024, among the lowest of any industrial country (and well below workforce growth in the US and Euro Area). The OECD forecasts paint a similar picture.

What can be done about low potential growth?

Liz Truss, in her brief failed premiership, correctly highlighted the deterioration in UK potential growth. Where Truss went wrong, in our view, was in the diagnosis of the causes of the problem and suggested remedies. Truss argued that low potential growth reflects an excessive regulatory and tax burden, and hence that supply side policy should focus on tax cuts and deregulation. However, the evidence to back this up is pretty thin in our view. The UK already has relatively low levels of regulation in product and labour markets (although [regulations on land-use](#) are relatively stringent), and the tax burden is close to the OECD average – and yet, the UK's productivity level and potential growth rate are relatively low. Or, put a different way, almost all other advanced economies are likely to have higher rates of potential growth over 2020-

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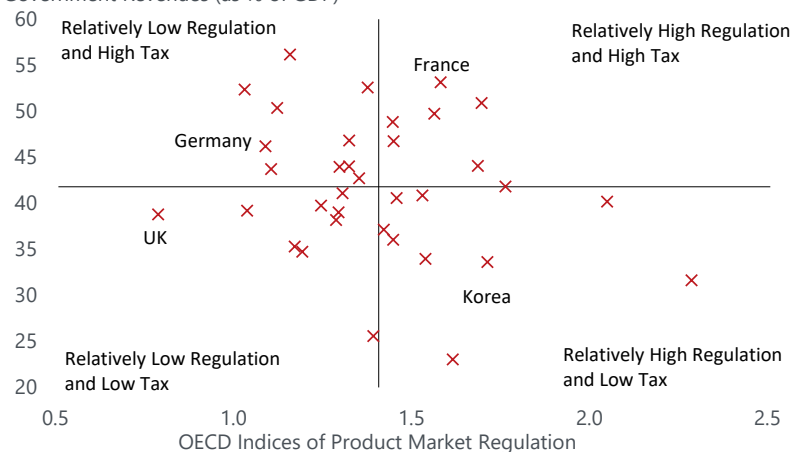
2024 (and many have higher levels of productivity), despite higher levels of regulation in some areas and similar (or higher) tax burdens.

Moreover, the side-effects of a strategy of deregulation and tax-cutting might actually make potential output worse. A further major move to deregulation could make it harder for the UK to increase trade openness, because a perception that the UK is seeking to undercut other countries' standards would probably limit scope for deeper trade deals. Likewise, as shown by the recent gilt market crisis, unfunded tax cuts – which put the fiscal position on an unsustainable trend – would be likely to prompt a significant rise in gilt yields which, by hitting business investment, would probably further reduce potential growth. So the Truss diagnosis was probably wrong, and her proposed 'solutions' threatened to make matters worse.

Chart 5: The UK has relatively low product market regulations and tax burden

World: Government revenue and product market regulation

Government Revenues (as % of GDP)



Source: Oxford Economics/OECD

In the recent Autumn Statement, the Chancellor talked about the need for a “growth strategy” but announced little or no substantial measures to achieve it. The statement aimed to ensure the fiscal position is put on a sustainable path even with low potential growth, rather than to actually lift the trend in potential growth. Indeed, the cuts to public investment announced in the statement are probably adverse in terms of potential growth, given evidence that public investment has a relatively high payoff to potential growth. The UK has long had relatively low levels of public investment compared to other advanced economies. In the early 2021 Budget, the government laid out plans for a sustained rise in public investment to well above pre-pandemic levels as a share of GDP. However, the Autumn Statement largely reversed this; after sizeable gains in public investment this year and next, net public investment is planned to fall by about 20% in real terms in subsequent years, such that net public investment (as a percentage of GDP) in 2027-2028 falls close to the pre-pandemic level.

It's unlikely that the MPC will seek to lift potential growth by adopting a strategy of 'running the economy hot', and it's unlikely that this approach would succeed even if tried. With inflation in double digits and buoyant pay growth, the risks are uncomfortably high that this strategy would simply further lift longer-term inflation expectations (which are already relatively elevated). The painful experience of the Truss premiership highlights the perils of setting policy on the basis of overly optimistic assumptions of the link from policy decisions to potential growth.

In our view, in designing a successful supply side strategy for the UK, the first step is to consult the experts – especially the OECD and IMF, who have done abundant in-depth research on this topic over many years, see for example [here](#) and [here](#). Key elements would probably include: closer trade links with the EU to reverse the reduction in the UK economy's trade openness; protecting and raising public investment; increased infrastructure investment; greater emphasis on training and lifetime education (especially for lower-skilled workers); a clearer strategy to meet net zero targets; less stringent land use restrictions; and increased funding for childcare. Measures to address the rise in long-term sickness (e.g., through cutting NHS waiting lists and more support for people with Long Covid) probably should also feature. In addition,

given the benefits of establishing a consistent long-term evidence-based approach, it may be worth considering the case for an independent expert body, modelled perhaps on the OBR or National Infrastructure Commission, that seeks to evaluate government policies in terms of their supply-side effects, and to make recommendations on how to achieve a sustained improvement in potential growth.

In turn, if higher potential growth can be achieved, then benefits would include faster growth in living standards over time, as well as less painful choices for fiscal and monetary policymakers. The MPC would face less need to restrain demand to such a sluggish trend. Higher growth in potential output per head would generate faster trend growth in tax revenues and hence, consistent with fiscal sustainability, allow higher growth in real public spending per head without requiring a rising tax burden (or allow a lower tax burden without requiring outright cuts in real public spending).

None of this is rocket science. Fixing the supply side is often slow, and the full effect of such measures on potential output would probably take a while to come through. But that is not a reason to avoid doing them; if anything, it is a reason to avoid delay.

Editor's note: This commentary was authored by Michael Saunders, Oxford Economics' Senior Economic Advisor and former member of the Bank of England's Monetary Policy Committee